Your Fast Moving Average, Shredded.

We tested **144 fast moving-average strategies** on two wild stocks - **TSLA** (the electric-car maker) and **NVDA** (the chip company behind most AI computers). On fresh years, the average one **lost money**.

Three plain words first. A **moving average** is a line that follows the price: it averages the last few days of prices and redraws itself each day, smoothing the chart into a line you can follow. A **backtest** means testing a set of buy-and-sell rules on old prices, to see what would have happened if you had followed them.

Fast means a short lookback - the line only remembers a few days. Here the fast line used just **3 days**, paired with a slower line (50 to 200 days). A 3-day line chases every wiggle. And a **whipsaw** is what those wiggles do to it: zigzags that sell low and buy high - the price jerks down, the rule sells, it jerks back up, the rule buys higher, and the bleed repeats.

Out-of-sample means the test used years the rules were *not* built on - fresh years, so the rules could not cheat by memorizing them. The rules were built on **October 2021 to October 2024** (in-sample). The honest window - the one every number below comes from - is **October 2024 to October 2026**.

THE NVDA HALF - 72 VERSIONS

+3.29%

AVERAGE RESULT PER VERSION, FRESH YEARS

On NVDA, the fast line just barely stayed ahead - a small positive average across its 72 versions.

Alive, but hardly a triumph for all that buying and selling.

THE TSLA HALF - 72 VERSIONS

-23.23%

AVERAGE RESULT PER VERSION, FRESH YEARS

On TSLA, the same rules were shredded. Its sharper zigzags whipsawed the fast line again and again.

Same rules. Same years. A completely different stock story.

AVERAGE RESULT PER VERSION - OUT-OF-SAMPLE, OCT 2024 TO OCT 2026

Every bar starts at the same zero line and uses the same scale, so the lengths are honest. The middle bar is not a third strategy - it is the average of the two halves beside it.

144 tested. Only 37% positive. Average: -10.0% on fresh years.

The average hid the story. Speed did the damage.

Start with the headline: across all 144 fast versions, the average out-of-sample return was **-10.0%**, and only **37%** of them - 53 out of 144 - finished positive at all. That is not one unlucky setting. It is the whole family, bleeding the same way. Whipsaw is systematic, not bad luck.

Then split the average open. The NVDA half averaged **+3.29%**. The TSLA half averaged **-23.23%**. One headline number, **-10.0%**, was hiding two opposite stories - a strategy's average always hides its halves, and the half you actually trade is the one you live with.

Different windows, labelled, on one honest scale that starts at zero. Holding one stock for five years and a two-year strategy average are not the same race - but the gap is the point: on wild stocks, all that fast trading added work, not money.

> **"Selling low and buying high, on schedule, is still selling low and buying high."**

THREE LESSONS THIS TEST ACTUALLY TEACHES

- **Speed kills on wild stocks.** The faster the line, the more zigzags it obeys - and on a choppy stock, every zigzag is a small, rule-following loss.
- **An average hides its halves.** +3.29% and -23.23% average to -10.0%. Always split a result by asset before you believe the headline.
- **Test on fresh years.** Rules can look brilliant on the years they were built from. Out-of-sample years - the ones the rules never saw - are the honest test, and here they shredded the fast line.

READ THIS BEFORE YOU BELIEVE IT

This is **two assets only** - TSLA and NVDA - and **both are volatile**, wild-swinging stocks; calmer stocks could treat a fast line very differently. It is also **one moving-average family**: a 3-day fast line crossed with slower lines, across different exit rules - not every strategy, and not even every moving average. The buy-and-hold figure above covers a **different, longer window** than the strategy average, and it is labelled that way. **Past test results never guarantee future results.**

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